[Translation]

January 30, 2025

Company Name: Japan Exchange Group, Inc.
Name of Representative: Yamaji Hiromi, Director & Representative Executive Officer, Group CEO
(Code No.: 8697, TSE Prime)
Inquiries: Corporate Communications
(TEL: +81-3-3666-1361)

Publication of Report from Independent Directors' Investigation Committee

As announced in "Establishment of Independent Directors' Investigation Committee" released on October 29, 2024, in light of the fact that an employee of Tokyo Stock Exchange, Inc., a subsidiary of Japan Exchange Group, Inc. (JPX), was under investigation by the Securities and Exchange Surveillance Commission (SESC) on suspicion of violation of insider trading regulations, JPX established an Independent Directors' Investigation Committee on September 27 to investigate the cause of the incident and enhance the effectiveness of recurrence prevention measures based on the findings. The Committee has been evaluating JPX’s employee education and training systems, business processes, and information management systems, among other things, and verifying JPX’s recurrence prevention measures in relation to this incident. JPX has today received the Committee's Investigation Report.

We deeply apologize for the significant inconvenience and concern this incident has caused to investors, listed companies, and all other related parties.

Going forward, JPX Group will thoroughly implement the recurrence prevention measures verified by the Committee, thereby ensuring that every one of our officers and employees has strong awareness of compliance with laws and regulations and strengthening our internal control systems. We are committed to making every effort to restore the trust of investors, listed companies, and all other related parties.

[Reference Translation]

Investigation Report

January 30, 2025

Japan Exchange Group, Inc.

Independent Directors’ Investigation Committee

January 30, 2025

Prepared for and on behalf of Japan Exchange Group, Inc.

Independent Directors’ Investigation Committee

Chair Takeno Yasuzo

Member Kama Kazuaki

Member Sumida Sayaka

Member Matsumoto Mitsuhiro

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Chapter 1. Overview of the Investigation by the Investigation Committee

1. Background to Establishment of Investigation Committee

In mid-September 2024, Tokyo Stock Exchange, Inc. (TSE), a subsidiary of Japan Exchange Group, Inc. (JPX; sometimes refers collectively to JPX and its subsidiaries), underwent an on-site investigation by the Securities and Exchange Surveillance Commission (SESC) based on suspicion of a violation of insider trading regulations (hereinafter referred to as "the Incident") by a former employee[1] that was at the time assigned to TSE's Listing Department (hereinafter referred to as "the Investigated Employee").

JPX is cooperating in full with every aspect of the SESC's investigation. In addition to this, however, the JPX Board of Directors takes the fact that an employee of securities market operator TSE is suspected of a violation of insider trading regulations extremely seriously as something that could damage trust in Japan's capital markets, and therefore determined that JPX must begin its own response where possible without waiting for the end of the SESC's investigation, while also making sure that this does not impede said investigation.

Accordingly, with advice from the Risk Policy Committee that maximizing the effectiveness of investigation into the causes of the Incident and the resulting recurrence prevention measures is crucial, and that to do this, it is important that investigations and evaluations are carried out from an independent, neutral, and fair standpoint, the JPX Board of Directors established an Independent Directors' Investigation Committee (hereinafter referred to as "the Committee") on September 27, 2024 and commissioned it with investigating the Incident (hereinafter referred to as "the Investigation").

On December 23, 2024, the SESC lodged a criminal complaint to the Tokyo District Public Prosecutors Office against two people, including the Investigated Employee, on suspicion of violating the Financial Instruments and Exchange Act (insider trading, information transmission) in connection with the Incident.

2. Purposes of the Investigation

The purposes of the Investigation are as below.

(1) Investigation into the causes of the Incident

(2) Evaluation of possible recurrence prevention measures

As the Investigation took place while criminal proceedings by the SESC were still ongoing, it was considered necessary to make sure that there was no impediment to these, and also that in this kind of situation, investigation into the facts should be left to the criminal proceedings. Accordingly, it was

[1] Said employee was dismissed on December 23, 2024.

decided that the facts of the Incident would yield to those in the criminal complaint lodged by the SESC as a result of its investigation, and that the Committee would do no separate investigations of its own.

3. Investigation Personnel

As listed below, the Committee is composed of Independent Directors of JPX who are also members of its Risk Policy and/or Audit Committees. The Committee is not a third party committee as defined by the Japan Federation of Bar Association's "Guidelines on Third Party Committees in Cases of Corporate Scandals, etc.," but it respects the intent of said guidelines to an appropriate extent in light of the purposes of the Investigation, and carried out its investigations from a neutral standpoint to enable JPX to fulfil its accountability to all stakeholders as a provider of capital market infrastructure, namely financial instruments exchanges.

Chair	Takeno Yasuzo	(Member of Nomination Committee, Chairperson of Risk Policy Committee)
Member	Kama Kazuaki	(Chairperson of Compensation Committee, Member of Audit Committee)
Member	Sumida Sayaka	(Member of Audit Committee and Risk Policy Committee)
Member	Matsumoto Mitsuhiro	(Member of Audit Committee and Risk Policy Committee)

The JPX Board of Directors commissioned the Investigation to the Committee, which is composed of Independent Directors rather than being a third party committee, because it determined that the wide range of expertise and abundant experience of JPX's Independent Directors would allow it to select members with the necessary knowledge and experience to carry out the Investigation, and that since said Independent Directors already have understanding of JPX's business and vision, it could expect the Investigation to be efficient and substantial even in a short period of time.

From the Committee's perspective, given that the main purposes of the Investigation were not to certify the facts of the Incident but to investigate its causes, essentially yielding the facts to the SESC's criminal complaint, and to evaluate possible recurrence prevention measures to be carried out by JPX, we determined that it was appropriate for the Committee to carry out the Investigation.

Based on a resolution by the JPX Board of Directors, the Committee appointed the below lawyers as legal advisors to assist the Investigation.

Lawyer	Fujitsu Yasuhiko	(Mori Hamada & Matsumoto)

Lawyer	Miyata Suguru	(Mori Hamada & Matsumoto)
Lawyer	Oka Tomohiro	(Mori Hamada & Matsumoto)

Also, the Committee kept costs to a minimum by the Independent Directors carrying out investigations personally. This involved work that is not included in the normal duties of a director. The total costs for all members of the Committee were JPY 10 million. The fees to legal advisors are expected to be around JPY 15 million.

4. Overview of the Investigation

(1) Investigation Period

The Committee carried out the Investigation from September 27, 2024 to January 30, 2025.

During this period, Committee meetings were held as below.

	Date	Contents
1st Meeting	October 8, 2024	• Hearings and discussion on JPX’s current measures and preparation
2nd Meeting	October 29, 2024	• Hearings and discussion on JPX's actions after the reporting of the Incident and current possible improvement measures
3rd Meeting	November 21, 2024	• Hearings and discussion on status of JPX's consideration and implementation of improvement measures • Explanation and discussion on the zero draft of the investigation report
4th Meeting	November 29, 2024	• Hearings and discussion on workflows in each TSE department and on the status of JPX's consideration of and action on improvement measures • Hearings and discussion on the results of the employee engagement survey
5th Meeting	December 6, 2024	• Hearings and discussion on the status of JPX's consideration and implementation of improvement measures
6th Meeting	December 13, 2024	• Explanation and discussion on the investigation report
7th Meeting	December 19, 2024	• Explanation and discussion on the investigation

		report
8th Meeting	January 15, 2025	• Explanation and discussion on the investigation report
9th Meeting	January 22, 2025	• Explanation and discussion on the investigation report
10th Meeting	January 30, 2025	• Discussion mainly on the investigation report

(2) Investigation Method

The specific methods used in the Investigation are as below.

(a) Viewing and Discussion of Related Documents and Materials

The Committee requested JPX to submit documents regarding internal rules as well as an overview of preparation and implementation of employee education and training related to violations of insider trading regulations. It also requested information, through reports and other means, on issues such as how TSE operates its business. It then held discussions regarding the submitted and reported documents and information.

(b) Interviews

The Committee held interviews of the following related parties.

Date	Interviewee	Position
December 5	Interviewee A	Listing Department Director, TSE
December 5	Interviewee B	Director, Corporate Disclosure Office, Listing Department, TSE
December 5	Interviewee C	Senior Manager, Corporate Disclosure Office, Listing Department, TSE
December 5	Hasegawa Isao	Executive Vice President, JPX Director & Executive Vice President, TSE
December 5	Yamaji Hiromi	Director & Representative Executive Officer, Group CEO, JPX Director (Part-time), TSE
December 5	Ao Katsumi	Director & Senior Executive Officer, TSE
December 6	Iwanaga Moriyuki	Director & Representative Executive Officer, Group COO, JPX President & CEO, TSE

(c) Inspection by the Committee

On November 21, 2024, the Committee inspected the TSE Listing Department, to which the Investigated Employee belonged, to check how business is operated in reality.

(d) Survey

The Committee requested JPX to carry out a survey of all officers and employees to a) check that they have not committed any acts similar to the Incident (including stock trading and similar activity prohibited by the JPX Group Employee Code of Conduct) or leaking or unpermitted usage of secrets known in the course of work and b) survey their reactions to the Incident and awareness of recurrence prevention.

This survey was carried out from November 11 to 15, 2024 covering all 1,368 officers and employees of JPX. Replies were received from all but 11, who had reasons such as long-term leave.

The survey received no replies indicating that the subject had committed any of the acts set out above.

(3) Presumptions and Reservations

As stated in 2. above, based on the determination that there must be no impediment to the SESC's investigation and criminal proceedings and that the investigation into the facts should be left to the criminal proceedings, the Committee has taken no steps to directly interview the Investigated Employee and confirm the facts, his motivations, or other aspects. The facts of the Incident are essentially presumed to be those in the SESC's criminal complaint.

Chapter 2. Facts Related to the Incident

The below 1. is an outline of the Incident according to the SESC. 2. to 4. are an overview of JPX's insider trading prevention systems, an overview of the Listing Department's business operations, and an overview of the Investigated Employee, according to JPX.

1. Outline of the Incident

The facts of the violation regarding the Investigated Employee subject to the criminal complaint lodged by the SESC are as below.

"A" (the Investigated Employee) is the JPX employee who was a member of the Corporate Disclosure Office of the TSE Listing Department, and "B" is his biological father.

i. In connection with his duties, around January 25 and 26, 2024, A became aware of the launch of a takeover bid when mostly TSE employees learned from the execution of a stock listing contract between TSE and KDDI CORPORATION that the body that makes decisions on business execution at KDDI had resolved to launch a takeover bid on shares of Lawson, Inc., which had shares listed on securities markets operated by TSE. Between around January 29 and 30, A transmitted the fact of said takeover bid to B with the intention of having him profit from buying Lawson shares in advance, and on receiving this information, B, between the day of receiving the information and February 2, which is before the fact of the takeover bid was made public, bought a total of 1,200 Lawson shares for around JPY 10.2 million on Tokyo Stock Exchange and other markets in his own name through a securities company, despite having no grounds for an exception from the law.

ii. Around March 25 of the same year, A became aware of the launch of a takeover bid in connection with the execution of a stock listing contract between TSE and Hulic Co., Ltd., specifically that the body that makes decisions on business execution at Hulic had resolved to launch a takeover bid for shares of Riso Kyoiku Co., Ltd., which had shares listed on securities markets operated by TSE. Around March 28, A transmitted the fact of said takeover bid to B with the intention of having him profit from buying Riso Kyoiku shares in advance, and on receiving this information, B, on March 29 and April 1, which is before the fact of the takeover bid was made public, bought a total of 11,000 Riso Kyoiku shares for around JPY 2.44 million on Tokyo Stock Exchange and other markets in his own name through a securities company, despite having no grounds for an exception from the law.

iii. In connection with his duties, around March 29 of the same year, A became aware of the launch of a takeover bid when mostly TSE employees learned from the execution of a stock listing contract between TSE and NTT Data Group Corporation, the parent company of NTT DATA Japan Corporation, that the body that makes decisions on business execution at NTT DATA Japan had resolved to launch a takeover bid for shares of JASTEC Co., Ltd., which had shares listed on securities markets operated by TSE. On the same day, A transmitted the fact of said takeover bid to B with the intention of having him profit from buying JASTEC shares in advance, and on receiving this information, B, on the same day and April 1, which is before the fact of the takeover bid was made public, bought a total of 3,000 JASTEC shares for around JPY 4.42 million on Tokyo Stock Exchange and other markets in his own name through a securities company, despite having no grounds for an exception from the law.

2. Overview of JPX's Insider Trading Prevention Systems

(1) Corporate Philosophy and Charter of Corporate Behavior

JPX has established a Charter of Corporate Behavior[2] to set out what kind of corporate behavior is required in terms of ethics and morality in order to achieve its corporate philosophy. As well as behavioral guidelines covering, among other things, provision of high-quality services, maintenance of stable systems and thorough management of risks, eco-conscious corporate activities, respect for human rights and prohibition of discrimination, and effective use and protection of corporate assets, the Charter also covers prevention of insider trading, compliance with laws and regulations, and thorough management of confidential information.

Specifically, the Charter stipulates that as actions that violate insider trading regulations cause remarkable harm to the fairness and soundness of the overall market, firm action must be taken against any activities which could be seen as unfair, and that employees must work to further spread awareness of the intent of such regulations with related outside people at client companies and so forth. It also stipulates that employees must maintain an accurate understanding of and strictly comply with all laws and regulations related to JPX's business, including the Financial Instruments and Exchange Act (including the duty of confidentiality[3] stipulated by this Act) and Companies Act.

The Charter also stipulates that since JPX's compliance programs, including the implementation of the Charter, play a vital role in internal control, in order to fulfill the social role entrusted to JPX by the public, the JPX Group management will take the lead in realizing the principles of the Charter, and will thoroughly promote awareness within the company while developing an effective internal structure. If by any chance the principles of this Charter are violated, the management will clarify the locus of the responsibility for the violation and deal with the situation in a strict manner.

[2] https://www.jpx.co.jp/english/corporate/governance/charter/index.html
[3] Financial Instruments and Exchange Act, Article 87-8. Violators are subject to imprisonment for not more than one year, or a fine of not more than JPY 500,000 (Article 204 of the same Act).

(2) Internal Rules

Based on the philosophy described in (1) above, JPX has established a Code of Conduct as specific guidelines for employees.

In the Code of Conduct, trading of stocks and certain other financial products by employees is prohibited as a rule[4], regardless of what name is used to carry out the trade, given that if a JPX employee were to carry out an improper act using the markets, this could cause catastrophic damage to the company's business operations as well as undermine support for and trust in the market from investors and other market users. Furthermore, as violations of the Code of Conduct by an employee could be subject to disciplinary action based on the Employment Rules, the Code also stipulates that employees should fully understand its contents and, as employees of JPX, must always be mindful of appropriate behavior so as not to undermine the trust of society and market users.

JPX's Employment Rules also stipulate that employees will be subject to disciplinary action for violation of the duty of confidentiality, which states that "employees, throughout their employment and after retirement, shall not disclose to others any confidential information known in the course of their duties or use such information for purposes outside JPX business," or "when an employee gravely discredits the company and tarnishes its reputation through dishonest acts."

Furthermore, JPX has created a "Compliance Handbook" (first published in October 2005, last revised in November 2022) which explains the contents of the Charter of Corporate Behavior and Code of Conduct in an easy-to-understand manner using illustrations and specific Q&As, and distributes it to JPX employees.

The above Charter of Corporate Behavior, Code of Conduct, and Compliance Handbook are posted on the company portal along with the Employment Rules and are therefore available to view by JPX employees at any time. In addition, JPX employees submit a written pledge[5] at the time of their job offer, when joining the company, and around once every three years after joining the company, stating that they will comply with internal rules such as the Charter of Corporate Behavior and Code of Conduct and that they understand that any violation may cause serious damage to JPX and may be subject to disciplinary action under the Employment Rules.

(3) Training and Education

JPX conducts an intensive one- to two-week introductory training program for the new graduate intake on their joining the company in April. The training has a particular focus on compliance-related content with the aim of instilling an understanding of the spirit of legal compliance required of JPX

[4] Trading of shares of JPX through the employee stock ownership plan is possible under certain conditions including advance notification.

[5] Most recently, all JPX employees submitted pledges in May 2022.

employees. This includes explanations related to the Charter of Corporate Behavior, the Code of Conduct, and the Employment Rules, as well as lectures and understanding tests on the Financial Instruments and Exchange Act, including specific examples of insider trading and other unfair trading practices. Of the nine hours spent on said lectures, around three hours are devoted to unfair trading as a whole, including around one hour on insider trading regulations. They cover (among other things): the significance and necessity of regulating insider trading; related terms such as company insider, information recipient, and material fact; insider trading by insiders on takeover bids; sanctions (criminal sanctions and fines) for insider trading; and regulations on information transmission and trade recommendations.

In addition, each department of JPX conducts operational training for new employees in the fall of each year. In the training provided by the Market Surveillance & Compliance Department of Japan Exchange Regulation, explanations are given about the flow of examinations for insider and other types of unfair trading, including how detection is achieved by using a variety of systems to analyze objective data and other information such as those regarding customers and trades.

When a prospective employee is offered a position, before they enter the company, they are given a copy and an explanation of the Compliance Handbook, and are required to undergo training (e-learning) on the Code of Conduct before their employment starts. This training includes a detailed explanation and an understanding test, in the form of e-learning, about the handling of trading of stocks and other instruments, including insider trading. For mid-career hires, employees are each given a copy of the Compliance Handbook and a detailed explanation of the contents when they start at the company.

Furthermore, JPX provides ongoing compliance-related education and training for employees after hiring. Once a year, it conducts training in the form of an e-learning course on the Employee Code of Conduct, including on securities trading restrictions. After taking the course, employees take an understanding test, which not only confirms their knowledge but also provides an opportunity to review the Compliance Handbook and related internal rules. Also, training on information security, including handling of confidential information, and risk management in general is conducted annually in an e-learning format.

In addition to the above training, in order to promote understanding of JPX's corporate philosophy and to foster and spread awareness of compliance and related issues, the company has carried out several initiatives including conducting a survey to confirm employee awareness of how to use the internal Compliance Hotline, sending a message (email) to employees from the JPX CEO entitled "Strictly Ensuring Compliance," and displaying posters and other information with JPX's corporate philosophy around the company's offices.

JPX has also been working on various ways to promote communication between employees. In particular, as the COVID-19 pandemic meant that some employees could not come to the office and were working from home for an extended period, additional efforts were made to prevent inadequate communication among employees. Specifically, the company has taken steps such as revamping its mentor system, which selects more experienced employees as mentors for younger employees and enables relationships which allow them to consult regularly about work and other things, and holding ongoing discussion meetings and exchange meetings between a certain number of employees on specific themes in order to promote interaction between departments.

(4) Overview of Engagement Survey

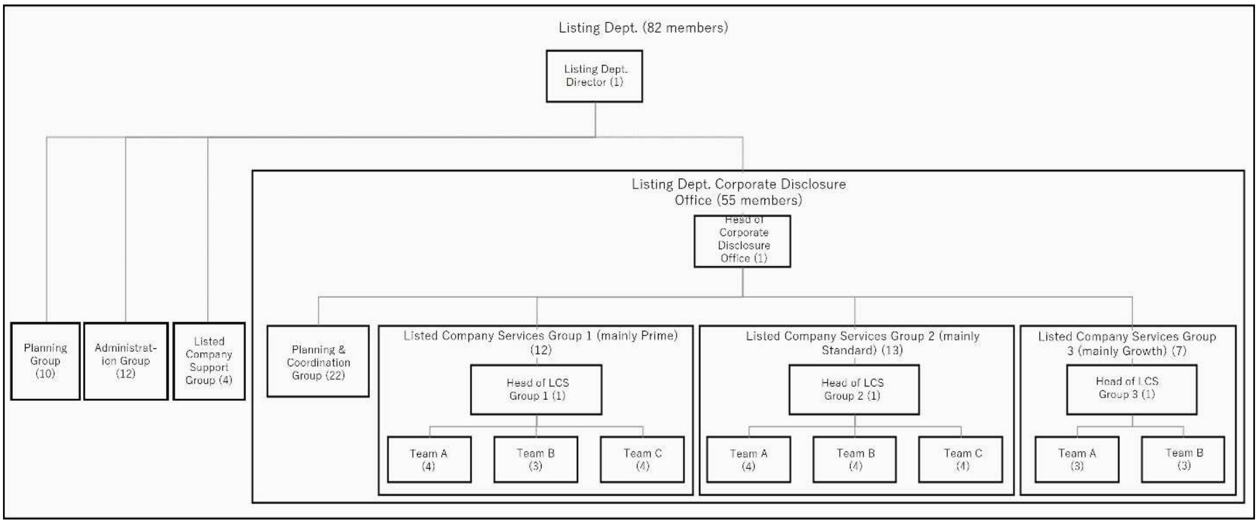
JPX conducts an annual employee engagement survey to ascertain employees' level of engagement and help improve HR policies. The results of the survey carried out between August and September 2024 shows that the "work engagement score," which judges vitality, passion, and immersion in work, was high in comparison to other companies. In particular, scores for "I feel proud of my work," "I feel that my work is connected to solving social issues," and "I act based on the company's philosophy and policies," which demonstrate JPX employees' feelings toward their work, awareness of contributing to social issues, and understanding of the corporate philosophy and other policies, were high compared to other companies.

3. Overview of the Listing Department

(1) Organization

TSE's Listing Department contains a Corporate Disclosure Office and is composed of seven groups in total: three groups directly under the Listing Department and four groups under the Corporate Disclosure Office. As of October 1, 2024, it had a total of 82 members, of which 77 were *seishain* (permanent, full-time employees) and five were seconded from other companies. Of these, 55 belonged to the Corporate Disclosure Office. The department is managed overall by the Listing Department Director, assisted by one Section Director, one head of the Corporate Disclosure Office, and nine group leaders.

Structure of Listing Department as of October 1, 2024)



(a) Listing Department

There are three groups within the department: the Planning Group (10 members), which is mainly in charge of planning regarding the listing rules overall; the Listed Company Support Group (4 members), which is mainly in charge of supporting listed companies' IR activities; and the Administration Group (12 members), which is mainly in charge of managing numbers of listed shares and requesting listing fee payments.

(b) Corporate Disclosure Office

The Office has four groups: the Planning & Coordination Group (22 members), which is mainly in charge of planning regarding timely disclosure rules, support for the three groups which communicate with listed companies (hereinafter referred to as the "Listed Company Services Groups"), and publication of designations as Securities Under Supervision and Securities to be Delisted; Listed Company Services Group 1 (12 members), which is mainly in charge of reception of timely disclosures and advice to Prime Market listed companies; Listed Company Services Group 2 (13 members), which is mainly in charge of reception of timely disclosures and advice to Standard Market listed companies; and Listed Company Services Group 3 (7 members), which is mainly in charge of reception of timely disclosures and advice to Growth Market listed companies.

(2) Overview of Corporate Disclosure Operations

Timely disclosure from listed companies is mandated to be carried out through the Timely Disclosure Network (TDnet), which is operated by TSE, and the members of the Listed Company

Services Groups[6] (hereinafter referred to as Disclosure Supervisors) oversee this timely disclosure. The related workflows are as below.

(a) Where There is No Consultation in Advance (Normal Cases)

The listed company registers the timely disclosure documents (mainly PDF files) on TDnet on the day of publication with the planned time of publication and other information. The Disclosure Supervisor checks that there are no issues with the registered documents such as required information missing or problems with the format and gives any questions regarding the contents of the disclosure or requests for edits, as necessary, to the listed company's person in charge of disclosure by telephone[7]. The listed company then answers the questions or edits the documents.

Once the checks and edits of the timely disclosure documents have been completed, the Disclosure Supervisor processes the enactment of the timely disclosure through the TDnet system. Timely disclosure documents that have been processed through the system will be published by being posted on the "Company Announcements Service" on the JPX website at the planned time of publication, and this completes the listed company's timely disclosure.

(b) Where There is Advance Consultation (Some Cases)

Where a listed company is planning timely disclosure regarding certain types of corporate actions,[8] TSE requires, as a rule, that it consult with TSE in advance ten or more days before the planned publication date.

Normally, advance consultation is started with the listed company sending a draft of the timely disclosure documents (hereinafter referred to as the "disclosure draft") by email attachment to the Disclosure Supervisor. The Disclosure Supervisor that received the disclosure draft then shares this with employees both inside and outside of the Listing Department who are stipulated in advance as information recipients depending on the type of corporate action involved, to carry out checks of the content such as the presence of required information.

Based on their own or the information recipients' comments, the Disclosure Supervisor then relates points to confirm and requests for edits of the disclosure draft to the listed company by telephone, email, in-person meetings, or other means, and the listed company confirms the points or edits the documents.

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[6] 29 as of October 1, 2024

[7] Even for cases that do not require advance consultation, listed companies regularly send disclosure drafts of timely disclosure documents to Disclosure Supervisors in advance so that they can check the contents at an early stage.

[8] Launch of takeover bid, expression of opinion regarding takeover bid, stock issuance in relation to a third party allotment, reorganization such as a merger, introduction of takeover response policy, etc.

On the day of publication, the listed company registers the completed timely disclosure documents to TDnet, and the Disclosure Supervisor checks the contents one more time before processing them through the TDnet system. The processed timely disclosure documents are published by being posted on the "Company Announcements Service" on the JPX website, and this completes the listed company's timely disclosure.

(3) Information Management in the Listing Department

Officers and employees of financial instruments exchanges, which includes members of the Listing Department, are prohibited from divulging or misappropriating any secret learned in the course of duty under confidentiality obligations set out by law.[9] JPX's Employment Rules also impose a duty of confidentiality on employees and stipulate that any violation is subject to disciplinary action. Since the insider trading regulations were introduced in 1989, there have been no cases of criminal penalties or administrative action for violations of insider trading regulations by JPX officers or employees.

In addition, JPX carries out monitoring of its employees' business emails (around once every six months) and their internet usage (around once a quarter), checking not only whether information has been leaked to external parties, but also the appropriateness of the usage such as whether information has been sent to an external party without the approval of a senior staff member without a justifiable reason. Telephone calls with external parties are also recorded and stored to create an environment that enables verification of call content.

On the basis of the existence of these laws and regulations and internal rules, as well as the implementation of training, the Listing Department (as of before the tightening of information management carried out as part of recurrence prevention measures in relation to the Incident, as set out in Chapter 4. 1. below) maintains the below systems for information management.

(a) Rules for Information Management

JPX manages information by splitting it into three categories of secrecy depending on its importance. Information in the most important "Secrecy Category I" must be strictly managed; for example, as a rule, it can only be provided to those with permission and cannot be taken outside the company. Information management in the Listing Department is conducted in accordance with all rules for information management set by JPX, and pre-publication timely disclosure information from listed companies (hereinafter referred to as "unpublished information") is treated as Secrecy Category 1.

In addition, to prevent the leakage of confidential information, the Listing Department sets and

[9] Financial Instruments and Exchange Act, Article 87-8 and Article 204

implements its own information management rules, such as for sending emails to outside the company. These extra rules are explained to employees that have moved to the Listing Department in their introductory training and implementation of the rules is checked every six months.

JPX leaves the granting of access rights to shared folders and other such operations to each department.

(b) Sharing of Unpublished Information Within the Listing Department

Unpublished information received from listed companies by Disclosure Supervisors through advance consultations is shared or forwarded within the Listing Department in the following ways.

i. Forwarding to those in the same team

Disclosure Supervisors belong to a team of several employees within the Listed Company Services Group. They forward all unpublished information received through advance consultation to those in the same team, excluding less significant cases such as voluntary advance consultations. This is to provide backup in the case of the Supervisor’s absence, to ensure consistency of advice on disclosure drafts between team members, and prevent clerical errors.

ii. Forwarding to those in the same Group

As shown in (1) (b) above, there are three Listed Company Services Groups that deal with each of the three market segments of Prime, Standard, and Growth, and each Group is composed of two or three teams. In order to manage the progress of and discuss how to approach consultation cases currently under discussion with listed companies, each Group holds a regular meeting for which Disclosure Supervisors create a document summarizing the cases they are currently working on and share this with the members of their Group. The electronic versions of these documents are saved within the shared folders of the Listing Department, which all Listing Department members have access rights to.

iii. Forwarding to those outside the Listed Company Services Groups

In cases such as where the content of timely disclosure means that the issue may meet the delisting criteria and will be designated as a Security on Alert to communicate this fact to investors, unpublished information is used in the course of duties by related Groups in the Listing Department other than the Listed Company Services Groups (the Planning & Coordination Group, Planning Group, Rules Advancement/Management Group). For this reason, Disclosure Supervisors forward to other Groups unpublished information that is necessary for each Group’s operations.

The Planning & Coordination Group holds regular meetings to manage progress of duties and discuss future actions. For this purpose, they create a document that summarizes the main cases.

The electronic version of this document is saved within the shared folders of the Listing Department, which all Listing Department members have access rights to.

(c) Sharing of Unpublished Information With Related Departments

Unpublished information received from listed companies by Disclosure Supervisors through advance consultations is shared with or forwarded to related departments outside the Listing Department in the following ways.

i. Forwarding to the Equities Department

The TSE Equities Department is mostly in charge of market operations such as securities trading rules/trading halts, planning and drafting of margin trading rules, real-time surveillance of securities trading, and updating issue information. Disclosure Supervisors share, with 18 members of the Equities Department that are registered as information recipients, unpublished information necessary for operations related to each purpose of selecting standardized/loan margin trading issues or issues for trading halts as a result of the content of timely disclosure.

In order to share with the Equities Department information on corporate actions that raise the possibility of a trading halt, the Listing Department creates a document which summarizes the unpublished information. The electronic version of this document is saved within the shared folders of the Listing Department, which all Listing Department members have access rights to.

ii. Forwarding to the Japan Exchange Regulation Listed Company Compliance Department

Japan Exchange Regulation's Listed Company Compliance Department is mostly in charge of examinations regarding the eligibility of listed company shares as investment instruments (examinations regarding inappropriate disclosure, violations of the Corporate Code of Conduct, and applicability to delisting criteria). Disclosure Supervisors share, with 25 members of the Listed Company Compliance Department that are registered as information recipients[10], unpublished information necessary for the purpose of use in its examination duties.

Forwarding to the Listed Company Compliance Department on certain issues is also carried out using an electronic document which summarizes the unpublished information on said issues. The electronic version of this file is saved in a shared folder of the Listing Department, Listing Examination Department, and Listed Company Compliance Department, which can be accessed by all members of those three departments.

[10] This constitutes all members of the department apart from the Department Director.

iii. Forwarding to the Japan Exchange Regulation Listing Examination Department

Japan Exchange Regulation's Listing Examination Department is mostly in charge of examinations of companies that apply to list on the TSE market. Disclosure Supervisors share, with 12 members of the Listing Examination Department who are registered as information recipients, unpublished information necessary for the purpose of checking timely disclosures of recently listed companies.

As in the above ii., forwarding to the Listing Examination Department on certain issues is carried out using an electronic document which summarizes the unpublished information on said issues. The electronic version of this file is saved in a shared folder of the Listing Department, Listing Examination Department, and Listed Company Compliance Department, which can be accessed by all members of those three departments.

iv. Forwarding to the Japan Exchange Regulation Market Surveillance & Compliance Department

Japan Exchange Regulation's Market Surveillance & Compliance Department is mostly in charge of examinations regarding unfair trading (market manipulation and insider trading) on the TSE market. Disclosure Supervisors share, with five members of the Market Surveillance & Compliance Department who are registered as information recipients, types of unpublished information stipulated in advance from the perspective of prevention of unfair trading.

4. The Investigated Employee

(1) Circumstances of Hiring

The Investigated Employee applied for employment through JPX's new graduate recruitment website. After passing the document screening, he underwent a total of five interviews (with HR, recruiters, etc.) and took an aptitude test for personality and other traits before receiving a job offer. As described in 2. (3) above, the Investigated Employee received explanations on the Compliance Handbook and training on the Code of Conduct before starting work, and submitted a written pledge stating that he would comply with internal rules and understood that any violation may cause serious damage to JPX and related parties and could result in action including withdrawal of the job offer.

(2) Job Progression After Hiring

The Investigated Employee started at JPX on April 1, 2021 after graduation from university. After receiving the new graduate training program under the Human Resources Department, as of April 12 he was assigned to the Market Administration Office of the Osaka Exchange Market Operations Department (based in Osaka). After that, from September 2022 he was based in Tokyo with the same Office, and from September 2023 he moved to the Corporate Disclosure Office of the TSE Listing Department (based in Tokyo) as part of standard job rotation.

(3) Duties and Work Situation

Under the Market Administration Office of the Osaka Exchange Market Operations Department, the Investigated Employee was involved in market operations such as trade surveillance operations on the derivatives markets and maintenance of trading systems. Under the Corporate Disclosure Office of the TSE Listing Department, he had duties such as receipt of and advice regarding disclosure information from listed companies.

Since joining the company, although there was an issue with an unpaid debt to a credit card company (since repaid), the Investigated Employee had no unexplained absences or similar issues, and there did not appear to be any problems with his day-to-day work situation. The Investigated Employee took part in all new employee training after starting work and took all the compliance-related e-learning courses taken by all employees annually.

Chapter 3. Investigation Into the Causes of the Incident

As described in Chapter 2. 1. above, this is an unprecedented case in which the Investigated Employee, an employee of the TSE Listing Department at which insider information (referring collectively to unpublished information that is a "material fact about business" stipulated in Article 166, Paragraph 2 of the Financial Instruments and Exchange Act or a "fact that a tender offer, etc. will be launched or the fact that a tender offer, etc. will be suspended" stipulated in Article 167, Paragraph 2 of the same Act; the same applies hereinafter) regarding all listed companies is concentrated, transmitted insider information regarding three takeover bid cases – one for which he was directly responsible, one for which the team he belonged to was responsible, and one for which another team from the same Group was responsible – to a member of his own family (his biological father) with the intention of having said family member profit from said transmission, and where said family member carried out insider trading.

Information transmission or insider trading that is conducted outside a company's business is, of course, a personal crime, and it is difficult to completely deter such acts under any system. However, in light of the fact that these acts are completely incompatible with the essential values and philosophy of JPX, which operates Japan's capital markets, and even more that they were carried out by an employee of the TSE Listing Department, where insider information regarding all listed companies is concentrated, the Committee investigated the organizational causes, as below, from the viewpoint of whether any improvements are necessary to the measures taken by JPX to prevent future occurrences of insider trading.

1. Investigation of Motive

As stated in Chapter 1. 4. (3) above, since the Committee did not make any efforts to carry out direct interviews with the Investigated Employee, there is no choice but to wait for the criminal proceedings to clarify what the motive for the information transmission was. Accordingly, the Committee did not analyze the causes of the Incident from the viewpoint of whether JPX could have taken some kind of measures in relation to the motive of the Investigated Employee.

2. Investigation of Insider Information Management Systems

(1) Perspective of Investigation

Insider trading is a crime that consists of a person who has knowledge of insider information carrying out trading of securities or similar acts before the information is made public. Information transmission is a crime that consists of a person who has knowledge of insider information transmitting said information to another person for the purpose of causing said other person to gain profit or avoid loss. It is difficult to use internal rules to effectively deter someone, whether a JPX employee or a family member of such, from intentionally committing a criminal act outside of their duties (it is possible to restrict employees from trading securities using internal rules, and as described in Chapter 2. 2. (2) above, JPX does in fact prohibit its officers and employees from trading certain securities as a general rule). Therefore, to minimize opportunities for violations of insider trading regulations, it is important to limit the scope of those who know insider information to the minimum necessary (the "need to know" principle). On the other hand, in order to maintain and improve the stability and quality of business operations, there is a need to share unpublished information, including insider information, to a certain extent (the "need to share" principle). For this reason, the Committee has examined whether there is room for improvement in TSE's information management system in terms of the balance between the need to know and the need to share.

(2) JPX's Insider Information Management System

Since the Listing Department is the department that handles timely disclosure from listed companies, it is in constant possession of insider information from listed companies. As described in Chapter 2. 3. (3) (a) above, insider information was managed based on predetermined secrecy classifications, but the setting of specific information management rules was left to the TSE Listing Department.

(a) Forwarding of Information Within Listed Company Services Group Teams in the Listing Department Corporate Disclosure Office

As described in Chapter 2. 3. (3) (b) i. above, at TSE, when Disclosure Supervisors received unpublished information from listed companies they are responsible for through advance consultations, they forwarded it to the other members in their team to provide backup in the case of the absence of the person in charge, to ensure consistency of advice on disclosure drafts between team members, and to prevent clerical errors.

(b) Forwarding of Information Within the Listing Department

As described in Chapter 2. 3. (3) (b) ii. and iii. above, Disclosure Supervisors made documents summarizing their cases for the purposes of information sharing at regular Group meetings, and the Listing Department had set no access restrictions on these documents within the department, meaning that insider information could be known by anyone within the Listing Department by viewing them.

The documents that were created by the Planning & Coordination Group for its regular meeting also had no access restrictions within the Listing Department, meaning that insider information could be known by anyone within the department by viewing them.

In two of the three cases involved in the Incident, the Investigated Employee carried out information transmission of insider information regarding takeover bid cases being handled by himself and employees within his own team, and in the other case, insider information regarding a takeover bid case being handled by employees from a different team in the same Group.

(c) Information Sharing With Other Departments

Furthermore, as described in Chapter 2. 3. (3) (c) above, while the content and timing differed, insider information was also shared before publication to departments outside the Listing Department: 1) to the Equities Department, for the purposes of sharing information regarding trading halts and similar actions as a result of timely disclosure, the Listing Department shared unpublished information with 18 members of the Equity Department who were registered as information recipients; 2) to the Listed Company Compliance and Listing Examination Departments, as well as forwarding information relevant to each department to the 25 (Listed Company Compliance) and 12 (Listing Examination) members registered as information recipients, the Listing Department made a document summarizing unpublished information on certain issues and made the electronic version of this accessible by all members of the Listing, Listed Company Compliance, and Listing Examination Departments; and 3) to the Market Surveillance & Compliance Department, the Listing Department forwarded types of unpublished information stipulated in advance to five members registered as information recipients.

(3) Investigation Results

As described in (2) (a) and (b) above, the information management system in the Listing Department at the time the Incident occurred was such that if a member of the Listing Department wanted to know information about a case that was outside their responsibility, they could easily do so by accessing the various documents.

In this regard, it would be theoretically possible to limit the scope of information sharing within teams to only the employee directly responsible (and their manager), but the reasons for adopting the team system and for sharing information within each team can be considered reasonable.

On the other hand, for information sharing with other teams in the same Group, while it can be deemed necessary to share information to maintain and improve the quality of operations within a Group that deals with the same market segment, for consideration of case studies or ensuring unified responses to similar problems, it should not be definitively insufficient to share information after publication or share information that has been anonymized, and therefore it cannot be said that there is a proactive need to share insider information prior to publication. Furthermore, as each Group deals with a different market segment, it is difficult to find a logical reason why it is necessary to share insider information with other Groups before publication.

As described in (2) (c) above, a certain scope of members of several other departments were also able to know insider information before publication. While information sharing can be considered necessary in light of the purposes of cooperation between the Listing Department and other departments, some room for further improvement can be seen in the scope and methods of information sharing.

Given the above, it must be said that the balance of the information management system in the Listing Department was tilting more towards the need to share than the need to know.

It seems that the information management system was how it was because with TSE employees under the Financial Instruments and Exchange Act's duty of confidentiality, there was trust not just in the Listing Department but in TSE as a whole in the compliance awareness and ethics of TSE employees, namely that they would never do anything that would violate insider trading regulations. As a background to this, it seems that there was a sense that employees of JPX shared the company's high sense of mission as the operator of Japan's capital markets. In other words, the fundamental cause of the imbalance in the information management system for insider information was that JPX did not foresee as a real possibility the presence of an employee who would violate insider trading regulations, whether deliberately or accidentally.

3. Investigation of JPX's Sharing of Values and Philosophy

(1) Perspective of Investigation

It goes without saying that if an officer of employee of JPX, the market operator, violates insider trading regulations, this could cause a risk of loss of trust in JPX and the markets it operates, and therefore this conflicts with the values and philosophy of JPX. If the Investigated Employee had adequately shared JPX's values and philosophy, that should have been a high normative barrier to committing acts in violation of the insider trading regulations.

The Committee was unable to confirm directly with the Investigated Employee as to why he carried out the information transmission in breach of said barrier, which he presumably did face. However, the very fact that he did breach that normative barrier suggests that JPX's essential values and philosophy were not sufficiently shared, at least by the Investigated Employee himself, and for this reason, the Committee investigated where improvements need to be made.

(2) Sharing of Values and Philosophy, Internal Rules, and Training/Education

As shown in Chapter 2. 2. (1) above, JPX sets forth its corporate philosophy in its Charter of Corporate Behavior, stipulating that employees must act to fulfil the social role entrusted to JPX as public infrastructure that supports economic activity and strictly avoid not just acts that fall under the insider trading regulations but also those that could be seen as doing so. In the Employee Code of Conduct, as described in the above Chapter 2. 2. (2), JPX warns that any improper acts using the market (including those that could be suspected or misconstrued to be improper) could cause catastrophic damage to the company's business operations and that employees must strictly refrain from any trading that could, even slightly, be suspected or misconstrued to be a use of the employee's position to gain undue profits, either for themselves or for a third party; it prohibits, as a rule, trading of certain securities that falls under the insider trading regulations, sets out the duty of confidentiality in the Employment Rules, and collects written pledges from employees that they will comply with these. A Compliance Handbook is also distributed to all officers and employees to make the contents of the Charter of Corporate Behavior, Code of Conduct, and other rules easier to understand. Furthermore, as described in the above 2. 2. (3), JPX carries out various types of training programs on an ongoing basis from before employment starts, and implements compliance training including that specific to insider trading at an adequate frequency. In addition, JPX also works to supplement these more rule-based measures through initiatives such as messages sent from the CEO and the display of posters, and efforts to promote communication between employees.

(3) Investigation Results

As a result of these activities, as described in Chapter 2. 2. (4) above, in the employee engagement survey carried out by JPX, scores for "I feel proud of my work," "I feel that my work is connected to solving social issues," and "I act based on the company's philosophy and policies," which demonstrate JPX employees' feelings toward their work, awareness of contributing to social issues, and understanding of the corporate philosophy and other policies, were high compared to other companies, suggesting that JPX's values and philosophy have permeated the workforce overall.

However, in order for a company's values and philosophy to be truly shared, rather than merely recognized as norms and rules within the company, it is important to have a process where said values and philosophy, and guidance for conduct based on these, become embedded in the mind of each individual officer and employee as part of formal and informal internal communications. It is evident that for most of JPX's officers and employees, this process has instilled an awareness of the company's social role as public infrastructure, a high level of motivation to contribute to society, awareness of compliance, and a sense of ethics. It is also evident that officers and employees have a sense of trust that other officers and employees of JPX share the same values and philosophy as they do.

While there is nothing wrong with this in itself, and in fact it is desirable in a company, on the other hand, it is possible that since JPX Group did not foresee as a real possibility the presence of an employee who would violate insider trading regulations, whether deliberately or accidentally, it was unable to repeatedly instill the values and philosophy enough to cause the Investigated Employee to have a strong awareness of never violating insider trading regulations under any circumstances. Particularly, it is undeniable that the level of communication between officers and employees of JPX had declined due to the COVID-19 pandemic when the Investigated Employee joined the company from 2021, and it is possible that this situation contributed to the inability of the Investigated Employee to fully share the values and philosophy of JPX that the vast majority took for granted.

4. Investigation of Internal Rules

(1) Perspective of Investigation

As described in 2. (1) above, it is difficult to effectively prevent violations of insider trading regulations themselves with internal rules. However, since internal rules do have the effect of instilling the company's philosophy and encouraging awareness among employees, it is necessary for JPX to clarify what kinds of acts it does not tolerate and make efforts to communicate this. However, if internal rules are overly strict it will be difficult to ensure their effectiveness, and while their deterrent effects against employees who look to violate laws and regulations are limited, they can also increase workload and restrictions for employees who look to obey both laws and regulations and internal rules. For this reason, it is important that they are reasonable. From this perspective, the Committee investigated whether there were any deficiencies in the internal rules.

(2) Internal Rules

The outline of JPX's internal rules with regard to prevention of insider trading is set out in 3. (2) above.

(3) Investigation Results

In light of the above, we can say that JPX's internal rules not only make adequately clear that violations of insider trading regulations are prohibited, but also preventatively prohibit trading of certain financial products by employees in itself, as a rule (this goes further than laws and regulations require, but can be considered reasonable in light of JPX's unique role as the operator of Japan's capital markets). JPX also makes adequate efforts to communicate the rules and promote understanding. Therefore, we do not recognize any major deficiencies in the internal rules themselves.

5. Investigation of Education and Training

(1) Perspective of Investigation

It is essential for JPX, the operator of Japan's capital markets, to maintain a high level of compliance awareness among each and every employee, and particularly to ensure a high level of awareness of the insider trading regulations within the TSE Listing Department, where insider information on listed companies is concentrated. JPX's position as the operator and supervisor of the market means that it not usually exposed to outside criticism, so it can be said that it is expected to impose strict discipline on itself and always implement the highest level of measures that can serve as a model for market participants. From this perspective, the Committee investigated whether there was any room for improvement in the education and training related to prevention of insider trading.

(2) Education and Training

The outline of JPX's education and training is set out in the above 3. (2).

(3) Investigation Results

In light of the above, although we do not consider there to be major deficiencies in JPX's education and training, the education and training on insider trading regulations until now were, in the end, not sufficient to deeply instill a strong awareness that insider trading regulations and other rules must never be violated in any circumstance.

In particular, as insider trading involves transactions in securities, it is a crime that inevitably leaves evidence, and unnaturally timed transactions are easily picked up through Japan Exchange Regulation's market surveillance and the SESC's investigations. The Investigated Employee should have been able to recognize that carrying out three insider transactions within a short period using the same name would be very likely to be exposed. The fact that he carried out the information transmission despite this suggests that his understanding of the system and methods for detecting insider trading was not sufficient. Although training on the detection system and methods was included in the annual training for new employees by the Market Surveillance & Compliance Department, it had not sufficiently permeated to be fully internalized by the Investigated Employee.

In light of the above, it can be said that there was room for better education and training in a quality and quantity that anticipates the real possibility that an employee could be present who could violate insider trading regulations, whether deliberately or accidentally.

Chapter 4. Evaluation of Possible Recurrence Prevention Measures

An overview of the recurrence prevention measures that JPX has implemented or plans to implement in light of the Incident, as well as the Committee's evaluation of these measures are as below.

In a case like the Incident, where an employee who needs to access insider information in the course of their duties intentionally violates insider trading regulations outside of their duties, the "motivation" as set out in the so-called "fraud triangle" is basically outside JPX's control. While it is important to reduce "opportunity" by limiting the scope of those who have access to insider information, there are limits to what can be done here, and it is impossible for JPX to restrict trading itself effectively. Therefore, we would like to point out at the outset that ultimately, it is extremely important not to allow "rationalization" of inappropriate acts and to create an environment that does not allow such rationalization.

1. Verification of Tighter Information Management

(1) Proposed Recurrence Prevention Measures

In order to limit as much as possible the number of employees of the Listing Department and other employees of JPX who handle insider information and therefore reduce the opportunities for violations of said regulations, the following measures have been implemented from January 2025.

(a) Narrowing the Scope of Information Sharing for Timely Disclosure Operations

JPX will ensure that the scope of sharing of unpublished information for carrying out timely disclosure operations is limited to the minimum number of staff necessary for the work. Specifically, in the past, documents created based on unpublished information received from listed companies by Disclosure Supervisors were forwarded to all members of the Supervisor's team and their manager, and access rights to electronic versions of said documents were granted to all members of the Listing Department. From January 2025, information recipients and access rights for said documents have been narrowed to only members of the Disclosure Supervisor's team and their manager.

(b) Narrowing the Scope of Sharing for Related Operations

JPX will also ensure that the scope of unpublished information sharing for carrying out related operations is limited to the minimum number of staff necessary for the work. Specifically, the scope of recipients of sharing of information received by Disclosure Supervisors from listed companies will be limited to the minimum necessary for business purposes conducted by the relevant Group within the Listing Department or the relevant other department. For instance, until now, regardless of the type of case, information was shared with all members of the Planning & Coordination Group, but from January 2025, this is shared only with members specified for each type of case and managers. Also, the number of members of other departments who are recipients of information from Disclosure Supervisors has been narrowed down to 15 from the Equities Department, seven from the Listed Company Compliance Department, and seven from the Listing Examination Department (there is no change to the five from the Market Surveillance & Compliance Department).

(c) Tightening Information Management Within the Listing Department

In order to ensure the implementation of the recurrence prevention measures described in (a) and (b) above, the Listing Department will formulate new rules for the handling of unpublished information within the department and strengthen internal control on information management. Specifically, from January 2025, the rules set forth the following: the scope of unpublished information sharing is specified in advance by Listing Department rules; any changes to the scope of sharing require the approval of the Listing Department Director; and compliance with these rules will be checked periodically.

(d) Narrowing the Scope of Sharing with Related Departments

The scope of unpublished information shared with related departments will also be strictly limited to the minimum number of staff necessary for business purposes. Specifically, regarding when an employee in a related department receives unpublished information from a Disclosure Supervisor, to narrow down the scope of sharing of information within that related department to the minimum number of staff necessary for business purposes, between November 2024 and January 2025, as well as limiting it to members in charge of that specific operation, the documents that were used for sharing information regarding certain issues that could be accessed by all members of the Listing, Listed Company Compliance, and Listing Examination Departments have been discontinued.

(2) The Committee's Evaluation

As pointed out in Chapter 3. 2. (3) above, the information management system in terms of information sharing with other teams in the same Group, with other Groups, and with related departments was tilting more towards the "need to share," since TSE employees have a duty of confidentiality under the Financial Instruments and Exchange Act.

For the proposed recurrence prevention measures, JPX has taken the approach of collecting information on the existing workflows, content of information, scope of sharing, and other aspects before narrowing down the scope of information sharing for each type of information to the minimum necessary for business operations, both within and outside of the Listing Department, based on the need-to-know principle. These scopes of sharing information can be deemed to have been thoroughly narrowed down. As well as aiming for the minimum necessary, the new rule requiring the approval of the Listing Department Director for changes to scopes is also aimed at maintaining the limits of the scopes, in line with the points raised by the Committee.

However, the workspace of the Listing Department does not have physical walls between Groups or teams. Since it is not realistic to divide the space by building physical walls, it will be vital to operate these rules in a way that makes them effective based on the current work environment.

2. Verification of Clarification of Internal Rules

(1) Proposed Recurrence Prevention Measures

In response to the Incident, JPX will revise some of the internal rules, clarify the types of acts that could be violations in an even clearer way than before, and implement these changes in the first quarter of 2025. As described in Chapter 2. 2. (2) above, the current Code of Conduct prohibits trading of stocks and certain other financial products by employees in principle, regardless of what name is used to carry out the trade. The new Code of Conduct will more clearly specify that insider trading by JPX employees regardless of the name used, including those of family members or acquaintances, is subject to regulations and that this also applies to cases where an employee transmits information or recommends stocks for trading to others, not just when they themselves conduct trading. (In light of the fact that the Investigated Employee was transmitting information to a family member, JPX will request that officers and employees discuss with their family the implications of these revisions to the internal rules.)

In line with these revisions to the internal rules, the content of the written pledge submitted by employees will also be revised, and all employees will be asked to submit a written pledge in the new format within the first quarter of 2025 as well as to submit the pledge on an annual basis.

(2) The Committee's Evaluation

As shown in Chapter 3. 4. (3) above, JPX's internal rules clearly prohibit insider trading at an appropriate level, and there are no major deficiencies in the internal rules themselves.

The above recurrence prevention measures clearly specify that trading even in the names of family members or acquaintances is also subject to regulations, and that employees communicating material facts that have not yet been made public to others or recommending trading are also subject to regulations. As they are expected to improve accuracy and ease of understanding, they are considered desirable.

In relation to 3. below, no matter how perfect the internal rules may be, if each officer and employee does not properly understand or is not aware of them, they will be meaningless. When revising the internal rules, on an ongoing basis, we expect JPX to make sure that all employees are informed of the revisions.

3. Verification of Implementation and Strengthening of Education for Employees and Listing Department Members

(1) Proposed Recurrence Prevention Measures

(a) For All JPX Employees

As described in Chapter 2. 2. (3) above, in order to educate employees on various compliance issues, including insider trading regulations, JPX conducts an introductory training program for the new graduate intake on their joining the company, and ongoing training for employees after they have joined.

In addition to these training programs, to reconfirm knowledge and awareness of insider trading regulations and deepen understanding, in December 2024, all employees were provided a training session focusing on insider trading regulations led by personnel of the Market Surveillance and Compliance Department. This session was held three times in Tokyo and twice in Osaka. Employees participated in person as a rule, and only those who were unable to do so participated online (via a live broadcast). Those who were unable to participate in any of the sessions because of their duties or other reasons watched the recordings at a later date. After the training session, an understanding test was given to all employees.

The training program covered basic information on the types of people and transactions that are subject to insider trading regulations, as well as investigations regarding insider trading regulations and penalties for violations. It emphasized that even a small amount or one-off transaction can be detected as a violation, and that if it is identified, it will be subject to severe disciplinary action as specified in the Employment Rules. JPX will continue to hold training sessions that focus on insider trading regulations, like the one above, for all employees every year.

For the new graduate intake on their joining the company, in addition to the current training programs on compliance and the Financial Instruments and Exchange Act (including insider trading regulations and other unfair trading), training specific to insider trading regulations conducted by the Market Surveillance & Compliance Department will be added from April 2025. For mid-career hires, on their joining the company, JPX will emphasize matters related to insider trading regulations in its explanations and has started providing the training program on insider trading regulations by the Market Surveillance & Compliance Department from those that entered the company in January 2025.

In addition, a booklet on insider trading regulations created by the Market Surveillance & Compliance Department has been distributed to all employees as part of education. Employees will use the booklet to explain to their family details of insider trading regulations and that they are in a position to obtain unpublished information.

(b) For Listing Department Members

For members of the Listing Department, where insider information of all listed companies is concentrated, in addition to the measures stated in the above (a), the following actions will be taken.

i. Strengthening Awareness of Compliance With Insider Trading Regulations

For Listing Department employees, JPX will regularly conduct face-to-face training specific to insider trading regulations to further raise awareness of the need for compliance. In such programs, JPX will look to raise employee awareness by explaining that since insider trading activities including information transmission and trading recommendation are closely monitored such as by SESC and Japan Exchange Regulation, any unusual trades are likely to be detected; that violations will result in not only internal disciplinary action, but also extremely severe punishments such as criminal penalties and fines; and that the Listing Department staff need to be especially careful as they handle unpublished information in the course of their duties. A training program with the above content was provided to the entirety of JPX in December 2024, and will continue to be provided to the Listing Department regularly from the following fiscal year.

ii. Fostering Ethics and Norms

In order to foster the high awareness of ethics and norms expected of staff members of the Listing Department, the Department Director will give clear instruction about the importance of this when a new staff member joins the department and on a regular basis. The Director will clearly instruct that violations of insider trading regulations by any member of the Listing Department, who regularly handle unpublished information in the course of their work, will considerably undermine the confidence of investors in the market; that it is important for them to understand and comply with rules that the department members in particular should be aware of, such as insider trading regulations and the duty of confidentiality for officers and employees of exchanges; and that if they find any action that violates or may violate these rules, or if they have done so themselves, they should report it promptly. The above training has been provided to the TSE Listing Department in the form of eleven small group meetings in December 2024, and will continue to be provided to the Listing Department regularly from the next fiscal year.

In order to raise awareness that Listing Department members are expected to have a high sense of ethics and norms, they will be asked to submit a written pledge regarding the above when they join the Listing Department and periodically thereafter (the first pledges have already been collected by January 2025).

(2) The Committee’s Evaluation

As pointed out in Chapter 3. 5. above, it is essential that employees have a high awareness of compliance regarding insider trading regulations, and while there were no major deficiencies in JPX’s education and training, there was room for improvement in the quality and quantity of education and training in relation to insider trading regulations.

In response to this, the recurrence prevention measures proposed by JPX will involve multiple layers of training programs on insider trading regulations and the detection system, and should contribute to fostering a high sense of ethics and norms among the Listing Department staff. To formulate these recurrence prevention measures, JPX has considered the Committee's suggestions and further examined more thorough education and training systems.

However, while training and education can be expected to continue under the high awareness that comes from an incident happening, their implementation will also involve a certain level of burden, meaning they may become difficult to continue in the future or lose their effectiveness. If the management team or department managers in particular neglect such measures or allow an impression to form that their priority can be lowered, they may stop being implemented from an early stage. We hope that in order to respond to these points, the management team will demonstrate strong leadership to continue these measures and truly embed them.

4. Verification of the Promotion of Communication

(1) Proposed Recurrence Prevention Measures

As described in Chapter 2. 2. (3) above, JPX has taken steps to revamp its mentor system, which selects more experienced employees as mentors for younger employees and enables relationships which allow them to consult regularly about work and other things, and to hold ongoing discussion meetings and exchange meetings between a certain number of employees on specific themes in order to promote interaction between departments.

From the new fiscal year in April 2025, in order to further promote communication among employees, JPX will promote the use of the mentor system further by assigning a more experienced employee from the same department as a mentor for every younger employee in particular, for a certain period of time.

In addition, in light of the Incident, JPX has created an opportunity for employees to discuss issues in small groups in each department and office, such as the meaning of working for JPX, the legal and ethical standards expected of employees, and how to raise awareness on a day-to-day basis to encourage behavior based on the corporate philosophy and the Employee Code of Conduct, and gathered specific opinions from across JPX Group in January 2025.

(2) The Committee’s Evaluation

As pointed out in Chapter 3. 3. (2) above, in order for JPX's values and philosophy to be truly shared, rather than merely recognized as norms and rules within the company, it is important to have a process where said values and philosophy and guidance for conduct based on these, become embedded in the mind of each individual officer and employee as part of formal and informal internal communications.

The above recurrence prevention measures proposed by JPX, such as the use of the mentoring system and small-group discussions, can be rated as those that will contribute to the embedding of its corporate values and philosophy. They will also enhance psychological safety among employees and provide an environment where employees can easily speak up. For example, it should be important to create an environment where employees can consult about how to respond if they find themselves in a risky situation, such as receiving strong demands for information transmission from their relatives or acquaintances. In that kind of situation, the employee themselves will be required to resolutely refuse, but if they have any worries about firmly refusing the request, it should be an effective recurrence measure to build an environment where they can consult with someone close by. Thus, the use of the mentoring system is significant.

However, in order to ensure that these measures are not implemented as one-off measures or a mere formality, JPX also needs to create frameworks for their ongoing and effective implementation. From this perspective, we hope that JPX will regularly measure the effects of the measures and constantly review and improve these, and that it will establish them as a continuous effort also in light of the content described in 5. below.

5. Verification of JPX’s Approach to Lessons Learned

(1) Proposed Recurrence Prevention Measures

As part of initiatives in recognition of the need to pass on lessons learned from the Incident to future employees and ensure that they are not forgotten, from April 2025, JPX will designate April of every year, when a new fiscal year begins, as “JPX’s Corporate Philosophy Confirmation Month” (tentative name). During the Confirmation Month, JPX will provide opportunities to further enhance understanding of and embed the corporate philosophy and other values, as well as raise awareness of what it means to be an employee of JPX, through means such as lectures by experts with the aim of fostering a sense of mission and compliance awareness as an employee of JPX, and discussions between employees and the CEO. The Confirmation Month will also be used as an opportunity for some positivity such as recognizing employees' efforts to improve JPX’s corporate value.

JPX will also implement other measures such as displaying materials in the office that summarize the insider trading regulations and other rules as soon as preparations are complete.

(2) The Committee’s Evaluation

In examining each of the measures in 1. through 4. above, we have touched on the importance of continuity. If day-to-day work becomes busy, the priority of prevention measures for recurrence of the Incident may fall. Even if they develop into more concise and effective measures, they must not become a mere formality. The above recurrence prevention measures proposed by JPX are considered important from the perspective of ensuring that each measure is not made a mere formality and is continued. We hope that JPX will look back on the Incident and the social impact, and pass lessons learned on to future employees.

Also, some of the recurrence prevention measures that will be implemented will restrict employees’ activities and create new time constraints for them. These include measures to tighten information management and strengthen employee training. For JPX employees who consider committing an act like the Incident themselves unthinkable, it is possible that they will gain a negative impression of these measures as something that increases their workload. However, we think that activities that foster a sense of mission as an employee of JPX and increase understanding of and embed the corporate philosophy can be effective in two aspects. One is the positive aspect of encouraging employees to want to contribute to JPX's original role in ensuring the stable operation of the market and the development of related businesses, and the other is discouraging employees from committing illegal acts by encouraging this kind of feeling. Therefore, while taking into consideration the burden on employees, it is essential to continue measures to ensure that JPX’s values and philosophy are passed on to the future.

6. Verification of Hiring and Transfer of Employees

(1) Proposed Recurrence Prevention Measures

In the current selection process for hiring employees, JPX conducts an aptitude test for personality and other traits in addition to screening of applications and resumes, and multiple interviews. In the recruitment process for new employees in the future, JPX will now implement stricter criteria in terms of compliance awareness, such as traits related to wasteful spending and the risk of information leakage.

For employees who have financial problems after joining the company, JPX will thoroughly enforce its policy of not allowing them to engage in work that involves handling of unpublished information or money, depending on the details of said problems.

(2) The Committee’s Evaluation

As described in Chapter 3. 1. above, the Committee did not analyze the causes from the perspective of whether JPX could have taken any action in relation to the motives of the Investigated Employee. For this reason, it is not possible to verify whether the delayed loan payment in Chapter 2. 4. (3) above is related to the Incident in any way. However, the above measures are, in general terms, intended to deal more strictly with the risk of violation of insider trading regulations by JPX employees, and also to keep employees who may have a motive to violate the insider trading regulations away from such opportunities. As such, these measures are meaningful as general preventive measures.

7. Verification of Implementation Status of Recurrence Prevention Measures and Ongoing Checks of Appropriateness

(1) Proposed Recurrence Prevention Measures

Regarding the recurrence prevention measures set out in 1. to 6. above, JPX will annually carry out checks within the Listing Department, Human Resources Department and other related departments and offices, and report the results to the Risk Management Committee secretariat. Said secretariat will also check adherence to the rules and their appropriateness. In addition, to confirm the status of adherence to the recurrence prevention measures related to the Incident, as well as carrying out an internal audit of the Listing Department, Human Resources Department, and other related departments and offices in the next fiscal year, checks will continue to be carried out on implementation status in all departments and offices as part of the regular internal audit process. Furthermore, the results of these will be reported to the Board of Directors and Audit Committee to aim for the necessary improvements.

If any new facts come to light in the course of the criminal proceedings, JPX will consider further analysis of the causes of the Incident and recurrence prevention measures as necessary and report those measures to the Board of Directors.

(2) The Committee's Evaluation

As mentioned above, with recurrence prevention measures, it is important that related actions are carried out on an ongoing basis. JPX's proposed actions will contribute to the ongoing implementation of the measures as they involve regularly checking the implementation status of the measures not just in related departments and offices but as part of the internal audit, as well as aiming for the necessary improvements by reporting to the Board of Directors and Audit Committee.

Also, if facts come to light that are different from the facts that formed the basis of the Committee's investigations, there is a possibility that reviews of the recurrence prevention measures will become necessary. In that case, it will be necessary to carry out appropriate consideration depending on the situation.

8. Verification of Recurrence Prevention Measures Not Adopted by JPX

The following are the Committee's evaluations regarding the proposals that were not adopted as recurrence prevention measures as a result of JPX's deliberations.

(1) Verification of Strengthening of Stock Trading Regulations

(a) JPX's Deliberations

As described in Chapter 2. 2. (2) above, JPX's Code of Conduct prohibits officers and employees from trading of certain financial products in principle regardless of what name is used to carry out the trade. On the other hand, there are no particular restrictions on trading of financial products by relatives, or on the opening of securities accounts by officers and employees or their relatives.

JPX considered whether or not it should change these for recurrence prevention measures but decided not to because of a lack of effectiveness.

(b) The Committee's Evaluation

As described in 2. (1) above, essentially, even if internal rules prohibit criminal acts that are intentionally committed outside of company business, such as violations of insider trading regulations, this alone will not immediately prevent these acts. Even if JPX were to restrict its officers and employees from opening securities accounts, in addition to prohibiting them from trading certain financial products, this would not only be ineffective at preventing insider trading, but JPX would be restricting securities trading that does not need to be restricted in the first place. These could have an adverse effect of preventing its officers and employees from improving their literacy in securities trading.

Furthermore, if JPX prohibits people from opening securities accounts or trading certain financial products on the grounds that they are relatives of JPX's officers and employees (giving JPX's officers and employees the obligation to prevent their relatives from opening securities accounts or trading certain financial products) in accordance with its internal rules, this would be not only ineffective, but also excessive. Even if such restrictions based on internal rules were put in place, it would be difficult to manage and operate them properly.

Considering the above, we cannot say that measures to prevent recurrence of the Incident will be insufficient just because these measures are not adopted.

(2) Verification of Monitoring of Internal Emails and Other Communications of Officers and Employees

(a) JPX's Deliberations

As described in Chapter 2. 3. (3) above, JPX monitors both its employees' usage of company email and the internet. It checks not only whether information has been leaked to external parties, but also the appropriateness of the usage such as whether information has been sent to an external party without the approval of a senior staff member without a justifiable reason. Telephone calls with external parties are also recorded and stored to create an environment that enables verification of call content.

These measures are being implemented to prevent errors in administrative procedures. As recurrence prevention measures, JPX considered using these to detect fraudulent activities, but decided against it because it would be ineffective with regard to violations of insider trading regulations.

(b) The Committee's Evaluation

Any action that violates insider trading regulations is carried out outside of work, even if it involves using insider information learned in the course of work. Generally, it is not expected that sometime attempting to commit an illegal act outside of work would use company assets such as electronic devices. Therefore, actively checking the use of company email and internet or external calls would not be a practical way to detect violations.

In light of this situation, we cannot say that measures to prevent recurrence of the Incident will be insufficient just because measures such as checking company emails, internet access, and phone calls to detect violations are not adopted.

(3) Verification of Prohibition of Smartphones and Other Communication Devices in the Office

(a) JPX's Deliberations

From the perspective of thoroughly preventing information leaks, one possible approach would be to prohibit Listing Department employees from bringing their own personal communication devices such as smartphones into the workplace during working hours, but JPX currently does not have such a restriction in place.

JPX also considered such an approach as a recurrence prevention measure but decided against it because it would be ineffective and have significant adverse effects.

(b) The Committee's Evaluation

Since employees can communicate with external parties to transmit information or send orders for insider trading outside of working hours, it has to be said that prohibiting the use of private communication devices at work would not be very effective in preventing these acts. In addition, communication devices such as smartphones have become an essential part of modern life and also function as communication tools in emergencies; for example, employees may receive urgent messages about their children. As such, prohibiting the use of such devices by employees would not be balanced with the disadvantages they would incur.

Therefore, we cannot say that measures to prevent recurrence of the Incident would be insufficient just because a ban on the use of private communication devices is not adopted.

Chapter 5. Conclusion

1. The Uniqueness of The Incident

As insider trading is a criminal act involving transactions in securities, it is a crime that inevitably leaves evidence, and is easily picked up through Japan Exchange Regulation's market surveillance and the SESC's investigations. JPX has already carried out a training program on the detection system. Furthermore, it should be easy to see, using common sense, that if anyone is found to be insider trading or transmitting information while being a JPX employee, it would be a permanent stain on their future career. Despite this, whatever the reasons, the Investigated Employee carried out three acts of information transmission in a short period. As mentioned in Chapter 3. 2. (3) and Chapter 3., 3. (3) and 5. (3) above, the fundamental cause of the Incident is JPX's failure to foresee the presence of an employee that could commit such a dishonest act. One possible reason for this could be that, since the introduction of the insider trading regulations in 1989, no JPX officer and employee had committed violations like the Incident. What matters is that, without resorting to the judgment that it could not be avoided because it was unforeseeable, JPX should consider recurrence prevention measures in the future, assuming that there may be employees who have psychological factors that could lead them to go beyond normative barriers of insider trading regulations.

JPX is responsible for not only the stable operation of exchanges that are vital social infrastructures but also the development of Japanese exchanges for the future. For this reason, JPX must work hard to prevent cases like the Incident that will undermine confidence in the market, while at the same time securing human resources who conduct market operations without error and with creativity to contribute to future development. In verifying the recurrence prevention measures for the Incident, we have considered JPX's social missions.

2. The Importance of Measures Against Rationalization

As described in Chapter 1. 4. (3) above, the Committee did not attempt to interview the Investigated Employee in person to confirm the facts or his motives. Therefore, we cannot hear from him directly about his motive or debate his true feelings and consciousness. Whatever the motive, the Investigated Employee caused the Incident because he had a motive and rationalized it. Therefore, regardless of the motive, the most critical and effective recurrence prevention measure for incidents similar to this case is to prevent the thinking behind (the "rationalization" mentioned at the beginning of Chapter 4) of such misconduct.

The implementation and strengthening of education for employees and Listing Department members evaluated in the above Chapter 4. 3. and the promotion of communication evaluated in Chapter 4. 4. are good examples of ways to prevent this rationalization.

3. Future-Oriented Instruction

While making JPX employees aware of how committing violations of insider trading regulations is irrational and causes significant damage to the individual, it is also important to guide employees to look to the future by talking about how their duties contribute to society, are rewarding, and lead to their future financial stability. By turning their minds to the future, we can expect that the quality of JPX employees' general duties will improve, as well as being highly effective in terms of preventing rationalization of inappropriate acts.

4. Dedication to Implementing Recurrence Prevention Measures

Even if JPX creates the aforementioned frameworks for sharing its values and philosophy and providing education and training to achieve this, simply creating them may have little effect. We want to emphasize that these frameworks need to be implemented with dedication. JPX’s leaders, department managers, and corporate executives must seriously engage with staff and check that they have truly understood these principles. We would also like to add that it is essential for the management teams of JPX Group companies themselves to proactively work on the recurrence prevention measures.

5. Promoting Digital Transformation

As a company that operates important social infrastructure, JPX has a mission to always pursue accuracy in its business operations. The recurrence prevention measures set out in Chapter 4, in particular side-effects caused by the strengthening of the information management system that mean the clogging up of information sharing, must not allow any lack of accuracy to creep in. To help appropriate management of human resources at JPX, promoting digital transformation should also be effective.

As independent directors, the Committee's members had the opportunity to meet in person a wide range of JPX employees, and without exception, all of them shared JPX's philosophy and work with integrity. Thinking of these employees, if the recurrence prevention measures described in this report are seriously implemented, JPX should have a good chance of winning the fight to prevent a recurrence.